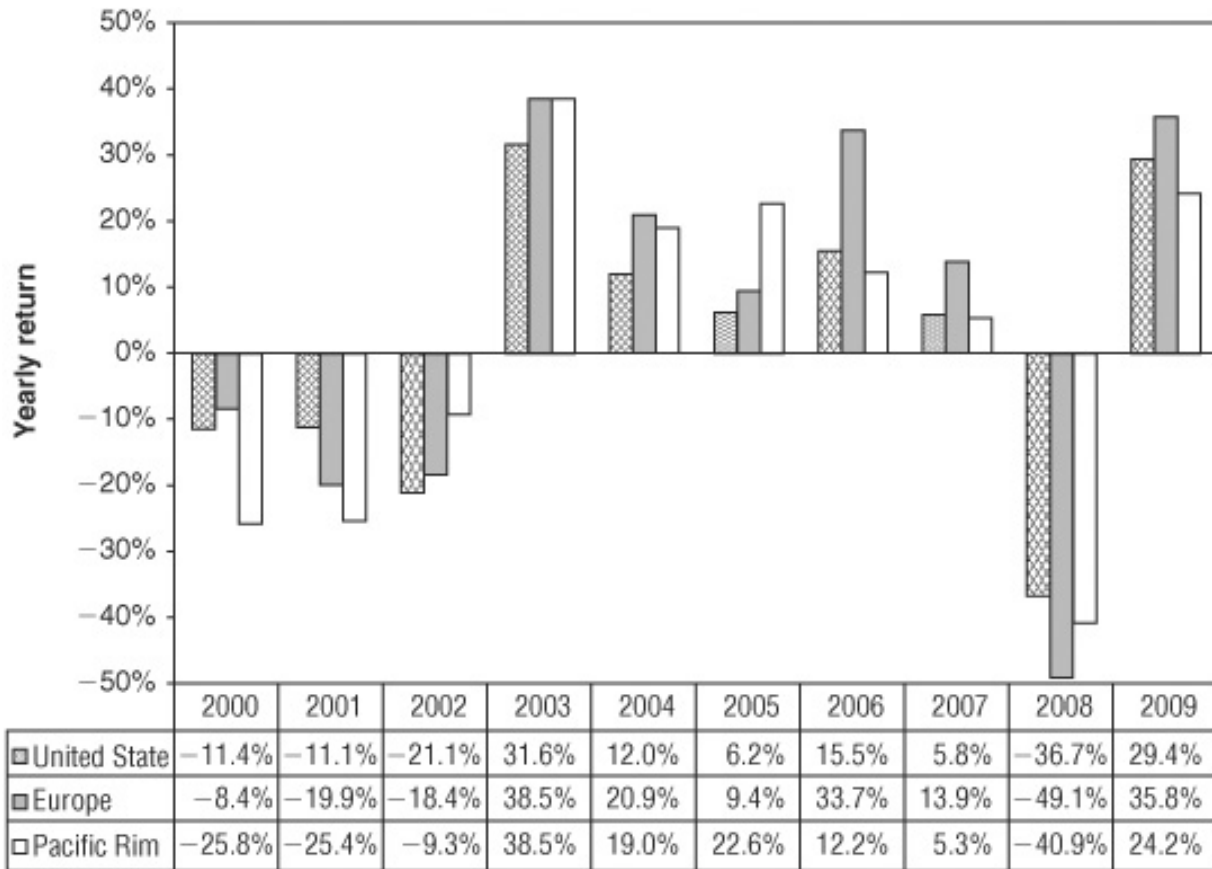


FIGURE 7-4

Return Differences between U.S., European, and Pacific Rim Markets



[Figure 7-5](#) illustrates the trends in exchange rates and local market valuations that have caused the weight of the EAFE to swing between Europe and the Pacific Rim over the years. In the early 1970s, Europe dominated the EAFE Index, with a 78 percent market share. By 1988, as a result of a huge run-up in Japanese stocks, the Pacific Rim dominated the EAFE Index, with 70 percent. In the 1990s, fortunes reversed again. A bear market in Japan and a bull market in Europe pushed Europe back over a 70 percent market share. Recently, the shift is away from Europe and back to the Pacific Rim.

Splitting up these regions and analyzing individual correlations gives us more insight into the overall market. [Figure 7-6](#) illustrates the rolling 36-month correlation between the MSCI Europe Index and the U.S. equity market, and the MSCI Pacific Rim Index and the U.S. equity market. Recall that the correlation between the U.S. stock market and the EAFE Index has increased since 1998.